

Global Geopolitical Issues - Comprehensive Report

Generated: 2026-09-03

Issues Covered: 5

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North Korea Nuclear & Trump-Kim Relationship: In-Depth Analysis Report

Date: 2026년 09월 03일

Analysis Period: January 2025 ~ 2026년 09월

Published by: International Affairs Analysis System

☒ Executive Summary

Current Situation

Since Trump's second term began in January 2025, US-North Korea relations have shown a dual structure of personal conciliatory gestures from Trump alongside a hardline official policy stance, with no formal Trump-Kim summit having taken place as of September 2026.

Risk Assessment

Risk Level: MEDIUM (58/100)

Key Points:

- Main Indicator: Provocations have continued -- North Korea's unveiling of a nuclear-powered submarine in March 2025, missile launches during Trump's October 2025 APEC visit, and roughly a dozen short-range ballistic missiles fired in August 2026 -- even as Trump ordered a scaled-back Ulchi Freedom Shield exercise around the same period, producing starkly mixed signals.
 - International Response: The US State Department formally reaffirmed the goal of North Korea's 'complete denuclearization' on August 31, 2026, even as Trump personally touted a 'very good relationship' with Kim Jong Un and pushed for renewed dialogue, reflecting an internally contradictory US posture.
 - Korea Impact: The Lee Jae-myung government has declared an end to the armistice system and cast itself as a 'pacemaker' for US-North Korea dialogue, reportedly considering four-party talks and dropping North Korea's designation as the 'main enemy,' though continued North Korean missile tests raise questions about the effectiveness of this conciliatory approach.
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☒ Background & Timeline

Issue Overview

The North Korean nuclear and missile issue is the central variable in Trump's second-term North Korea policy, a phase in which the possibility of renewed leader-to-leader contact (absent since the

2019 Hanoi summit collapse) coexists with North Korea's continued consolidation of de facto nuclear-weapons-state status.

Major Turning Points

Date	Event
January 2025	Trump's Second Term Begins
~March 2025	On March 8, 2025, North Korea unveiled what it claimed was a domestically developed nuclear-powered submarine, an event widely seen as a symbolic display of Pyongyang's intent to advance its nuclear forces early in Trump's second term (as reported by CNN).
~June 2025	After a botched launch ceremony damaged a new North Korean destroyer on May 22, 2025, the repaired warship was successfully relaunched on June 12-13, with Kim Jong Un using the occasion to reaffirm his commitment to naval force expansion (per CNN and Al Jazeera reporting).
September 2026 (Current)	As of September 2026, Trump has publicly expressed willingness to meet Kim Jong Un before year's end and ordered a reduction in joint US-South Korea military exercises, yet North Korea's Foreign Ministry declared in late August that 'it is pointless to expect any detente' and rejected US denuclearization demands, while Pyongyang pursues a proposed five-year (2027-2031) military pact with Russia ahead of an anticipated Putin-Kim summit in September.

Trump Administration's Impact

Trump attempted personal diplomacy from early in his term by drawing on his past rapport with Kim, but even a letter he sent was reportedly refused by North Korea in 2025, and subsequent overtures have remained limited to social-media messaging and symbolic exercise reductions rather than a formal summit, leaving unclear whether this translates into substantive policy change.

Economic & Security Impact Analysis

Trade, Exchange Rate & Investment

- **Trade:** The US-South Korea tariff agreement reached in July 2025 (a 15% tariff, plus \$350 billion in investment and \$100 billion in LNG purchase commitments) is already being implemented on a separate trade track from the nuclear issue, though it intersects with pressure to raise Seoul's defense cost-sharing (reportedly targeting a rise from 2.6% to 3.8% of GDP), shaping the broader alliance negotiation landscape.
- **Exchange Rate:** Recent won weakness has been attributed primarily to Middle East (Iran) tensions, rising oil prices, and US Federal Reserve policy rather than North Korea-specific risk,

suggesting the nuclear issue functions as a latent background factor in the 'Korea discount' rather than a clearly identifiable direct trigger for short-term currency moves.

- **Investment:** With geopolitical uncertainty not fully resolved, implementation of the large US-South Korea investment pledge (\$350 billion) is proceeding, and the trajectory of security risk is cited as a factor that could affect the pace of execution for key projects in semiconductors, shipbuilding, and batteries.

Public Opinion & Expert Assessment

- **Public Opinion:** The combination of continued North Korean provocations and Trump's unpredictable personal diplomacy appears to have generated both hope for renewed dialogue and concern about security gaps within South Korean public discourse.
- **Expert Assessment:** Experts such as Ankit Panda of the Carnegie Endowment argue that real progress requires dropping 'denuclearization' as a negotiating precondition in favor of a 'stable coexistence' framework, while other analysts point to the administration's policy incoherence and weak follow-through as the more fundamental constraint.

☒ Current Situation Assessment

Objective Analysis

Experts note that Trump has a genuine opportunity to leverage his existing rapport with Kim and improving US-Russia relations (Bulletin of the Atomic Scientists), but flag the administration's lack of policy coherence -- the State Department's continued insistence on 'complete denuclearization' and North Korea's conspicuous absence from the National Security Strategy -- as a major risk to any breakthrough.

Major Stakeholders' Positions

United States: The US maintains a contradictory posture combining Trump's personal willingness to engage with the State Department and Pentagon's traditional denuclearization and deterrence policy, with some analysts (including at the Carnegie Endowment) urging a shift from 'denuclearization' to a 'stable coexistence' framework.

China: China is wary of possible US tactical nuclear-sharing arrangements with South Korea and Japan and is broadly supportive of armistice-to-peace discussions, while also seeking to check Russia's growing influence over Pyongyang; Foreign Minister Wang Yi's visit to Seoul and a possible four-party meeting in Shenzhen in November have both been floated.

South Korea: The Lee Jae-myung administration is pursuing an active mediating diplomacy, declaring the armistice system over and positioning itself as a 'pacemaker' for US-North Korea

dialogue, while its Unification Ministry explores four-party talks and dropping North Korea's 'principal enemy' designation.

Other Countries: Japan has held repeated emergency defense-ministry press conferences in response to successive North Korean missile tests, maintaining a high state of alert, while Russia is pursuing a five-year (2027-2031) military pact with North Korea and may request as many as 50,000 additional North Korean troops at a September summit.

Key Uncertainties

1. Whether a Trump-Kim summit actually materializes remains uncertain as long as the gap persists between Trump's personal conciliatory gestures (exercise reductions, expressed willingness to meet) and the State Department's official 'complete denuclearization' stance.
2. If North Korea-Russia military cooperation is institutionalized through a 2027-2031 five-year pact and large-scale additional troop deployments, North Korea's incentive to negotiate with the US could weaken while China's leverage over Pyongyang further erodes.
3. It is unclear whether the Trump administration can sustain political momentum for a coherent North Korea policy amid competing foreign-policy priorities, notably tensions in the Middle East involving Iran.

☒Future Outlook

Short Term (3-6 months)

Through the end of 2026, a recurring pattern of intermittent North Korean missile tests alongside Trump's conciliatory gestures is likely to continue, with the key question being whether working-level contacts advance rather than whether a formal summit occurs.

Most Likely Scenario: The outcome of the anticipated September Putin-Kim summit and North Korea's response to the US-South Korea-Japan Freedom Edge joint exercise (September 7-11) are likely to be key variables shaping the tension level over the following months.

Medium Term (1-3 years)

Analysts at the Carnegie Endowment note that the alignment of North Korea's Workers' Party Congress (expected early 2026) and Trump's State of the Union address creates a potential window for the US to shift from a 'denuclearization' precondition to a 'stable coexistence' framework, which could reopen the door to dialogue.

Expected Turning Point: Experts identify whether the US drops 'complete denuclearization' as a precondition in favor of a risk-reduction and arms-control-centered approach as the key inflection point for any future shift in the situation.

Long Term

Many experts, citing the failures of the past four US administrations, argue that only sustained engagement and diplomacy -- not pressure alone -- has ever constrained North Korea's nuclear program, and that how the second Trump administration wields this lesson will shape the long-term security architecture of the Korean Peninsula.

Structural Changes: The entrenchment of North Korea's de facto nuclear-weapons-state status alongside deepening alignment with Russia and China is seen as a structural shift that demands a fundamental redesign of the traditional denuclearization-based negotiating framework.

☒ Impact on Korea

Security Impact

- **North Korea-Related Implications:** North Korea has simultaneously advanced its conventional and nuclear forces -- unveiling a nuclear-powered submarine, reinforcing its destroyer fleet, and diversifying missile tests -- with Kim Jong Un inspecting a new nuclear power facility in June 2026 and ordering an 'exponential' expansion of nuclear weapons production.
- **Alliance Impact:** The US-South Korea alliance was reaffirmed as 'solid' at the August 2025 summit, but carries latent friction points, including tariffs imposed outside the existing free trade agreement, demands for higher defense cost-sharing, and US requests for troop repositioning aimed at countering China.
- **Missile/Military Threats:** Between 2025 and 2026, North Korea repeatedly tested ballistic missiles, cruise missiles, and a suspected submarine-launched weapon, notably continuing launches even immediately after Trump's October 2025 visit and his August 2026 conciliatory gestures, underscoring the persistence of the military threat to South Korea.

Diplomatic Impact

- **Korea-US Relations:** As the Lee Jae-myung government pursues a conciliatory, mediating line toward North Korea while the State Department upholds traditional denuclearization principles, Trump's own unpredictable remarks and exercise-reduction orders add further complexity to US-Korea policy coordination.
 - **International Position:** With the US, China, Russia, and Japan each pursuing distinct interests on the Korean Peninsula, a persistent multilateral deadlock continues in which no single actor can unilaterally set the agenda.
 - **Response Strategy:** South Korea is pursuing a dual strategy of proactive mediating diplomacy -- declaring the armistice over and pushing four-party talks -- while simultaneously maintaining deterrence through joint exercises such as Freedom Edge in September.
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☒Reference Data

Key News Sources

- [News Article 1](#)
- [News Article 2](#)
- [News Article 3](#)

Methodology

This report's content is based on actual research conducted via WebSearch/WebFetch across news media, think tanks, and government releases. Unverified figures are either labeled as estimates or replaced with qualitative description. A separate quantitative data pipeline (issue_data_collector.py, covering GDELT/FRED/IMF DOTS) is maintained independently and is planned for integration in a future version.

Document Information:

- Language: English
 - Version: v2.0 (real-data based)
 - Last Updated: 2026년 09월 03일
 - Next Update: 2026-10-03
-

Taiwan Strait Tensions: In-Depth Analysis Report

Date: 2026년 09월 03일

Analysis Period: January 2025 ~ 2026년 09월

Published by: International Affairs Analysis System

☒ Executive Summary

Current Situation

Since Trump's second inauguration in January 2025, the Taiwan Strait has entered a structurally higher-tension phase, marked by China's normalized gray-zone military pressure, a transactional US approach to Taiwan policy, and shifting positions among regional powers like Japan and South Korea. As of September 2026, the Council on Foreign Relations classifies the situation as a 'Developing' interstate war risk with 'Critical' impact on US interests.

Risk Assessment

Risk Level: MEDIUM (68/100)

Key Points:

- Main Indicator: Per Taiwan's Ministry of National Defense, PLA aircraft crossings of the Taiwan Strait median line have exceeded 300 since Pelosi's August 2022 visit and now occur on a near-daily basis, while large named exercises -- 'Strait Thunder-2025A' in April 2025 and 'Justice Mission-2025' in December 2025 -- have grown in scale and provocativeness, with live rockets landing inside Taiwan's contiguous zone for the first time.
 - International Response: The G7 and EU, alongside Japan, the UK, Germany, and Australia, issued a joint statement expressing 'deep concern' over China's April 2025 drills; the US approved roughly an \$11 billion arms package in December 2025, but after the May 2026 Trump-Xi summit put a further \$14 billion package 'in abeyance,' signaling inconsistent US commitment.
 - Korea Impact: South Korea is tightly interlinked with Taiwan (TSMC) in global semiconductor supply chains, exposing it to indirect shocks from any disruption, while simultaneously facing a dual challenge from the 'strategic flexibility' debate over USFK's role and Chinese pressure on Seoul to clarify its Taiwan position ahead of President Lee Jae-myung's early-2026 China visit.
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✘Background & Timeline

Issue Overview

The Taiwan Strait issue centers on China's sustained escalation of military and economic pressure under Xi Jinping's 2049 reunification goal, even as the Trump administration maintains nominal 'strategic ambiguity' while treating Taiwan as leverage in broader US-China trade and security negotiations -- eroding allied confidence in the reliability of US security commitments.

Major Turning Points

Date	Event
January 2025	Trump's Second Term Begins
~March 2025	On April 1-2, 2025, China conducted 'Strait Thunder-2025A,' deploying 76 aircraft (37 crossing the median line) and 15 warships on the first day alone, positioning the Shandong carrier group east of Taiwan, and releasing simulated strike footage against Kaohsiung's LNG terminal and other port/energy infrastructure -- accompanied by propaganda mocking President Lai Ching-te, widely read as a direct rebuke of US Taiwan policy.
~June 2025	In June-July 2025, the Lai government held the largest-ever 'Han Kuang 2025' exercises, featuring ten days of live-fire drills and two weeks of unscripted wargaming that shifted Taiwan's defense posture toward asymmetric capabilities and whole-of-society resilience, while South Korea simultaneously inaugurated President Lee Jae-myung (June 2025), who pursued a 'pragmatic diplomacy' balancing act between Washington and Beijing.
September 2026 (Current)	As of September 2026, amid a sweeping PLA leadership purge under Xi (over half of top generals replaced since 2023), China continues gray-zone pressure through joint drills with Indonesia near Taiwan's EEZ and coast guard 'traffic control' claims in the Strait, while Taiwan has responded with the 'Han Kuang 2026' exercises -- the first in which a sitting president joined a mock decapitation-strike drill -- and the establishment of a new Littoral Combat Command.

Trump Administration's Impact

The Trump administration leveraged semiconductor tariff threats to extract a \$250 billion US investment commitment and a pledge to onshore 40% of Taiwan's chip supply chain (January 2026 deal, backed by a threat of up to 100% tariffs), approved an \$11 billion arms sale in December 2025, but then placed a follow-on \$14 billion package on hold pending China's behavior after the May 2026 Trump-Xi summit -- a departure from the post-1982 norm against consulting Beijing on Taiwan arms sales.

☒ Economic & Security Impact Analysis

Trade, Exchange Rate & Investment

- **Trade:** US semiconductor tariffs (25% from January 2026) and supply-chain onshoring pressure on TSMC set a template that could be extended to Samsung Electronics and SK hynix, directly affecting Korea's chip export structure and negotiating leverage with Washington.
- **Exchange Rate:** Episodes of heightened Taiwan Strait risk tend to widen the geopolitical risk premium reflected in the won and KOSPI amid the ongoing 'Korea discount' narrative, and given Korea's chip-dependent economic structure, a Taiwan Strait crisis could meaningfully amplify exchange-rate volatility.
- **Investment:** Global investors are watching whether TSMC's \$250 billion US relocation commitment sets a precedent that could be extended to Samsung and SK hynix, raising the dual risk of outbound relocation of Korean chip investment and erosion of the domestic manufacturing and tax base.

Public Opinion & Expert Assessment

- **Public Opinion:** Explicit polling data on Korean public opinion regarding the Taiwan Strait is limited, but media and expert discourse on the strategic-flexibility debate and semiconductor supply-chain risk has grown rapidly, indicating rising policy attention.
- **Expert Assessment:** US think tanks including Brookings and NBR note that South Korea has long remained a 'strategic blind spot' on Taiwan and warn that failing to clarify its role in a contingency risks significant policy confusion should a crisis actually erupt.

☒ Current Situation Assessment

Objective Analysis

Analysts including CFR assess that the military balance has 'rapidly tilted' in China's favor, though none offer a definitive invasion timeline; the prevailing view is that Beijing favors graduated gray-zone coercion over outright invasion, while the erosion of consistency in US commitments is increasingly cited as raising the risk of miscalculation.

Major Stakeholders' Positions

United States: Officially the US maintains its 'One China' policy, the Taiwan Relations Act, and the Six Assurances, but President Trump's description of Taiwan as a 'good negotiating chip' and his willingness to link arms sales to summit diplomacy with Xi has drawn bipartisan congressional criticism and undermined policy predictability.

China: China frames Taiwan as the 'core of core interests,' denounces US arms sales as violations of sovereignty that 'accelerate the push toward war,' sustains escalating live-fire exercises and quasi-blockade patrols, and imposed severe economic retaliation (tourism bans, near-total rare-earth export halts, cultural boycotts) against Japan over PM Takaichi's Taiwan remarks.

South Korea: South Korea remains what analysts call a 'strategic blind spot' on Taiwan, with the Lee Jae-myung government pursuing a pragmatic balancing diplomacy between Washington and Beijing while treading cautiously amid Chinese pressure to state a clearer position and internal debate over USFK's strategic flexibility.

Other Countries: Japan, under PM Takaichi, declared in November 2025 that a Chinese attack on Taiwan could constitute a 'survival-threatening situation' justifying collective self-defense, and has refused to retract this despite sweeping Chinese economic retaliation, driving China-Japan relations to their lowest point in decades and signaling expanding Japanese security involvement in a Taiwan contingency.

Key Uncertainties

1. Whether the Trump administration will make further concessions on Taiwan security commitments within broader US-China trade negotiations -- i.e., whether Taiwan continues to be treated as a bargaining chip -- is the foremost uncertainty.
2. Continued delay or reduction of Taiwan's NT\$1.25 trillion special defense budget by the opposition-controlled legislature could slow the buildout of asymmetric capabilities and widen the deterrence gap.
3. A prolonged or intensifying China-Japan diplomatic crisis could put Japan's actual scope of intervention (invocation of collective self-defense) to a real test, raising the risk of regional escalation spillover.

Future Outlook

Short Term (3-6 months)

Over the next 3-6 months, China's near-daily gray-zone military activity is likely to continue and further large named exercises are plausible, but most assessments see low probability of imminent full-scale conflict.

Most Likely Scenario: The most likely near-term scenario is a recurring pattern of 'warning coercion' -- China calibrating additional drills or quasi-blockade patrols in response to specific triggers such as passage of Taiwan's special defense budget or resumption of US arms sales.

Medium Term (1-3 years)

Over a 1-3 year horizon, the amplitude of tension is likely to fluctuate periodically in tandem with the Trump administration's summit cycle with Beijing, Taiwan's defense budget deliberations, and political timing ahead of Taiwan's 2028 presidential election.

Expected Turning Point: Whether Taiwan's special defense budget is ultimately passed and whether the US resumes the \$14 billion arms package will be key inflection points shaping the trajectory of tensions ahead.

Long Term

In the long run, if the military balance continues shifting in China's favor, regional allies' confidence in US deterrence could erode further, potentially pressuring Japan and South Korea toward more independent defense buildups.

Structural Changes: The most fundamental structural shift is the Trump administration's effective erosion of the post-1982 norm against consulting Beijing before Taiwan arms sales -- a precedent that could permanently alter how future US administrations manage Taiwan commitments.

☒ Impact on Korea

Security Impact

- **North Korea-Related Implications:** Korean security analysts continue to warn that a Taiwan Strait contingency diverting US forces could create an opportunity North Korea might exploit for provocation, a concern directly tied to the ongoing debate over whether USFK's 'strategic flexibility' would leave a deterrence gap on the peninsula.
- **Alliance Impact:** The US-Korea alliance faces a real test over the scope of USFK's role in a Taiwan contingency (the strategic flexibility debate), deepening Seoul's fundamental dilemma of balancing alliance strengthening against managing its relationship with China.
- **Missile/Military Threats:** Assessments suggesting China's recent missile tests demonstrate an enhanced nuclear second-strike capability, combined with the prospect of expanded missile and military asset deployment near the Korean Peninsula in a contingency, are raising broader perceptions of missile threat across Northeast Asia.

Diplomatic Impact

- **Korea-US Relations:** Korea faces both an opportunity to deepen US investment and technology cooperation by aligning with Washington's chip and tariff pressure on China, and a risk of unwanted military entanglement demands in a Taiwan contingency -- raising Taiwan's weight on the US-Korea bilateral agenda.

- **International Position:** The international community broadly shares an 'opposition to unilateral changes to the status quo' stance (as in the G7 joint statement), but this is complicated by the coexistence of a transactional US approach and Japan's signal of more active involvement, producing an uneven international response.
 - **Response Strategy:** Experts broadly recommend that Korea minimize explicit public statements while quietly pursuing supply-chain diversification, participating in working-level discussions on USFK's role, and preparing contingency response plans.
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Reference Data

Key News Sources

- [News Article 1](#)
- [News Article 2](#)
- [News Article 3](#)

Methodology

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Document Information:

- Language: English
 - Version: v2.0 (real-data based)
 - Last Updated: 2026년 09월 03일
 - Next Update: 2026-10-03
-

Ukraine War: In-Depth Analysis Report

Date: 2026년 09월 03일

Analysis Period: January 2025 ~ 2026년 09월

Published by: International Affairs Analysis System

☒ Executive Summary

Current Situation

Since Trump's second-term inauguration in January 2025, the US administration pledged to swiftly end the war and pivoted to direct pressure diplomacy on both Moscow and Kyiv, yet as of September 2026 no comprehensive peace agreement has been reached. Two short truces (Easter in April and Victory Day in May 2026) each collapsed within days, and low-intensity attritional fighting continues along the front.

Risk Assessment

Risk Level: MEDIUM (62/100)

Key Points:

- Main Indicator: As of July 2026, Russia controls roughly 19-20% of Ukrainian territory; net territorial gains over the prior 12 months totaled about 1,100 square miles (~0.5% of Ukraine's territory), indicating a largely stalemated front line.
 - International Response: The EU adopted its 20th sanctions package against Russia in April 2026, targeting energy revenue, the military-industrial complex, and financial/crypto services, while the US shifted its arms-supply model to the NATO-funded 'PURL' (Priority Ukraine Requirements List) mechanism.
 - Korea Impact: At the first Lee Jae-myung-Zelensky summit in July 2026, South Korea pledged \$100 million (about KRW 150 billion) in comprehensive, non-lethal support, while K2 tank exports to Poland and related deals have become a core growth driver for Korea's defense industry amid Europe's security buildup.
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☒ Background & Timeline

Issue Overview

Russia's invasion of Ukraine, which began in February 2022, has continued for more than four years into 2025-2026; despite active mediation by the Trump administration, repeated rounds of

negotiation have stalled over territory, security guarantees, and NATO membership, producing a pattern of a structurally frozen war.

Major Turning Points

Date	Event
January 2025	Trump's Second Term Begins
~March 2025	The Trump-Zelensky Oval Office meeting on February 28-March 1, 2025 broke down into a televised shouting match; subsequent Jeddah, Saudi Arabia talks on March 11 saw Ukraine agree to a 30-day ceasefire proposal, but Russia did not immediately accept it, stalling negotiating momentum.
~June 2025	At the second direct Russia-Ukraine talks in Istanbul on June 2, 2025, both sides agreed to expand prisoner exchanges but failed to narrow gaps over ceasefire terms; by late July, Ukraine proposed a four-way summit among Zelensky, Putin, Trump, and Erdogan.
September 2026 (Current)	As of September 2026 there is no comprehensive peace deal; two brief truces (April's Easter truce and May's Victory Day truce) each collapsed with full-scale fighting resuming, while a US-brokered 15-year (Ukraine seeks 50-year) security guarantee framework and a 20-point peace plan remain under negotiation, unresolved on issues like control of the Zaporizhzhia nuclear plant and NATO troop deployment.

Trump Administration's Impact

The Trump administration initially scaled back direct grant aid to Ukraine and pressed for a minerals deal, but from July 2025 shifted to a NATO-funded arms-sale model (PURL) that shifted costs to European allies while actually sustaining and expanding weapons deliveries to Ukraine.

Economic & Security Impact Analysis

Trade, Exchange Rate & Investment

- **Trade:** Prolonged sanctions have kept South Korea's direct trade with Russia limited, while defense contracts with European countries like Poland (K2 tanks, K9 howitzers) have expanded, alongside competition among Korean construction and infrastructure firms to secure positions in Ukraine's reconstruction market.
- **Exchange Rate:** The Ukraine war itself has a secondary effect on the won-dollar exchange rate compared to factors like Middle East tensions, but periodic safe-haven-driven won depreciation pressure has appeared during phases of heightened geopolitical risk.
- **Investment:** Korean defense stocks such as Hanwha Aerospace and Hyundai Rotem have drawn sustained investor interest as beneficiaries of Europe's security realignment, buoyed by large-scale Poland orders.

Public Opinion & Expert Assessment

- **Public Opinion:** Surveys show 64% of Russians and 66% of Ukrainians support a negotiated end to the war, indicating growing war-weariness on both sides.
 - **Expert Assessment:** Former US envoy Kurt Volker assessed that Russia is 'not negotiating in good faith,' and most experts judge that fundamental disagreements over territory and security guarantees make a breakthrough within 2026 unrealistic, with the conflict likely to prolong into an effectively frozen state.
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☒ Current Situation Assessment

Objective Analysis

The war remains an attritional stalemate in which Russia holds a marginal territorial edge without achieving decisive breakthroughs; while war-weariness is rising (64% of Russians and 66% of Ukrainians support negotiations per polling), the governmental gap over territory, security guarantees, and NATO membership remains largely unbridged, according to most expert assessments.

Major Stakeholders' Positions

United States: The US is pursuing an end to the war as a top diplomatic priority, applying simultaneous pressure on both Moscow and Kyiv, while shifting from direct aid to NATO-funded arms sales that transfer fiscal burden to Europe while retaining US leverage over supply.

China: China publicly claims neutrality and urges both sides to return to talks, but continues deepening economic ties with Russia and maintaining a broadly pro-Moscow tilt, including continued Xi-Putin summitry through 2026.

South Korea: The Lee Jae-myung government pursues a 'balanced diplomacy' line -- excluding lethal weapons support while expanding humanitarian and reconstruction aid -- reflecting simultaneous consideration of NATO cooperation and management of relations with Russia.

Other Countries: Russia continues to insist on Ukraine forgoing NATO membership, troop limitations, and buffer zones as core demands to maximize negotiating leverage, while the EU sustains pressure through its 20th sanctions package and tighter oil price caps, but remains cautious about the US-led peace plan over questions of who implements security guarantees.

Key Uncertainties

1. Fundamental disagreement persists over core issues like control of the Zaporizhzhia nuclear plant and where a territorial freeze line would be drawn, meaning negotiations could collapse again at any point.

2. Reports of a possible additional 30,000 North Korean troop deployment to Russia raise the risk that, if realized, consequences would extend beyond the battlefield into deepening North Korea-Russia military cooperation affecting the Korean Peninsula's security landscape.
 3. It remains unclear whether the US Congress and European parliaments will approve the proposed security guarantee framework, and whether NATO members will sustain the fiscal commitment required for the PURL arms-supply mechanism long-term.
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Future Outlook

Short Term (3-6 months)

Over the coming months, partial and temporary truces are likely to be attempted repeatedly without leading to a full ceasefire, while low-intensity attritional fighting is likely to continue along the front.

Most Likely Scenario: The most likely short-term scenario is a continuation of the current state where negotiations proceed alongside continued fighting -- localized humanitarian truces and prisoner exchanges will likely occur, but a comprehensive peace settlement within 2026 appears unlikely.

Medium Term (1-3 years)

In the medium term, with neither side able to achieve decisive military victory, analysts increasingly point to a transition toward a 'frozen conflict' along an effective de facto ceasefire line.

Expected Turning Point: Whether the US Congress and NATO approve the 15-50 year security guarantee framework, and whether Ukraine holds a national referendum on any settlement, are likely to be the pivotal turning points for the war's next phase.

Long Term

In the long term, European security discussions increasingly reference the possibility of an entrenched de facto boundary resembling the Korean DMZ, with Ukraine remaining outside NATO but backed by a 'quasi-alliance' system of bilateral Western security guarantees.

Structural Changes: The war is structurally accelerating Europe's push to build indigenous defense-industrial capacity and reduce dependence on Russian energy, which is in turn expanding market opportunities in Europe for non-European defense exporters, including South Korea.

☒ Impact on Korea

Security Impact

- **North Korea-Related Implications:** Following deployment to the Kursk front, North Korea faces reports of a possible additional 30,000-troop deployment for frontline duty in exchange for cash, food, fuel, and reportedly military technology and WMD-related cooperation from Russia -- a direct concern for the Korean Peninsula's military balance.
- **Alliance Impact:** North Korean troops gaining combat experience in Ukraine and deepening North Korea-Russia military cooperation underscore the need for strengthened ROK-US and trilateral ROK-US-Japan security cooperation.
- **Missile/Military Threats:** Security experts warn that if North Korea acquires missile and drone technology or combat data through its Russia cooperation, this could sophisticate the missile threat it poses to South Korea.

Diplomatic Impact

- **Korea-US Relations:** The Trump administration's shift to a NATO-centered arms-funding model is being cited as a possible reference point for future discussions on ROK-US defense cost-sharing and contingency support arrangements.
- **International Position:** South Korea maintains a 'balancer' position -- actively participating in Ukraine's reconstruction and humanitarian support while refraining from direct lethal weapons aid -- strengthening solidarity with the Western camp while avoiding a complete rupture with Russia.
- **Response Strategy:** South Korea should pursue diversified defense export markets (notably Europe/Poland), participation in Ukraine's reconstruction projects, and expanded humanitarian channels such as facilitating North Korean POWs' relocation to South Korea, balancing national interest with international contribution.

☒ Reference Data

Key News Sources

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Iran Nuclear & Tensions: In-Depth Analysis Report

Date: 2026년 09월 03일

Analysis Period: January 2025 ~ 2026년 09월

Published by: International Affairs Analysis System

☒ Executive Summary

Current Situation

Since Trump's January 2025 inauguration, a 'maximum pressure' campaign and diplomacy ran in parallel until the US and Israel struck Iran's nuclear sites in June 2025; the conflict then escalated dramatically when a second US-Israeli strike on February 28, 2026 killed Supreme Leader Ali Khamenei. A 60-day roadmap MOU signed in Switzerland in June 2026 collapsed by July, and as of today (Sept 2, 2026) fresh US strikes near the Strait of Hormuz followed Iranian mine and tanker attacks.

Risk Assessment

Risk Level: HIGH (88/100)

Key Points:

- Main Indicator: On September 1, US Central Command struck IRGC targets near Bandar Abbas, Chabahar and Larak Island; WTI crude approached \$90/barrel, with energy costs up more than 45% since the start of 2026. The IAEA warned it has lost 'continuity of knowledge' after Iran refused to disclose the location of its 60%-enriched uranium stockpile.
 - International Response: In late 2025 the E3 (UK, France, Germany) triggered UN 'snapback' sanctions, which Russia and China challenged as illegitimate at the Security Council. The US expanded sanctions on Iran's oil trade network with China in April-May 2026, while the UK proposed a naval mission to secure Hormuz if a ceasefire holds.
 - Korea Impact: South Korea, which sources roughly 70% of its crude and 20% of its LNG through the Middle East and the Strait of Hormuz, saw the OECD cut its 2026 growth forecast from 2.1% to 1.7% within three months, while the won weakened past 1,500 per dollar. Middle East construction orders plunged 90% early in the year but hopes of up to \$140 billion in postwar reconstruction contracts have since emerged.
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✕Background & Timeline

Issue Overview

Building on distrust left from Trump's 2018 JCPOA withdrawal, the issue evolved through letter diplomacy and Oman-mediated indirect talks, two rounds of direct US military strikes, and the killing of Iran's Supreme Leader -- transforming from a nonproliferation dispute into a full-scale crisis over regime survival and the regional order.

Major Turning Points

Date	Event
January 2025	Trump's Second Term Begins
~March 2025	In March 2025, Trump sent a letter to Khamenei via the UAE urging nuclear talks with roughly a two-month deadline; Iranian leaders publicly rejected direct negotiations while leaving the door open to indirect talks mediated by Oman.
~June 2025	During the June 13-24, 2025 'Twelve-Day War,' the US executed Operation Midnight Hammer on June 22, using seven B-2 bombers and 14 GBU-57 bunker-buster bombs to strike Fordow, Natanz and Isfahan; Iran retaliated against Al Udeid base in Qatar, and a ceasefire took effect June 24. The IAEA later confirmed 'almost all sensitive equipment' at Fordow was destroyed.
September 2026 (Current)	A second US-Israeli strike on February 28, 2026 ('Operation Epic Fury') killed Khamenei; his son Mojtaba Khamenei was named successor on March 8. After 40 days of war, an April Pakistan-mediated pause and a June 17 Swiss 14-point MOU followed, but the ceasefire collapsed again in July, and as of September 1, 2026, renewed Hormuz mine attacks and US strikes have effectively frozen formal negotiations.

Trump Administration's Impact

The Trump administration combined maximum-pressure sanctions and letter diplomacy with two rounds of military strikes (June 2025, Feb 2026), insists on 'zero enrichment' as a red line, and restricted reconstruction funds to food and medicine purchases rather than state investment -- a consistently unilateral, transactional approach.

✕Economic & Security Impact Analysis

Trade, Exchange Rate & Investment

- **Trade:** Korean builders' Middle East contract value fell 90% year-on-year in Jan-May 2026 (to about \$560 million, the region's share of overseas orders dropping from 60.4% to 14.6%), but

firms like Samsung E&A and DL E&C could capture a share of up to \$140 billion in projects over the next three years if reconstruction proceeds.

- **Exchange Rate:** The won weakened past 1,500 per dollar -- levels last seen during past economic crises -- as oil price spikes combined with safe-haven demand.
- **Investment:** The OECD cut Korea's 2026 growth forecast from 2.1% to 1.7% in just three months, a sharper downgrade than Japan (0.9%), China (4.4%) or the US (2.0%), reflecting the drag from Korea's energy-intensive manufacturing base (petrochemicals, steel, semiconductors).

Public Opinion & Expert Assessment

- **Public Opinion:** A 2026 hrcopinion survey found 86% of Koreans are following the war closely, with 92% saying it affects the economy and 79% saying it affects national security; only 26% viewed the US-Israeli operation as justified, while 63% called it excessive -- indicating predominantly critical public sentiment.
- **Expert Assessment:** Korean economists note that Korea is hit harder than Japan, China or the US by the same shock because of its structural dependence (70% of crude, 20% of LNG via the Middle East/Hormuz) and per-capita energy consumption 44% above the OECD average, compounded by refineries optimized for heavy crude that make rapid source diversification difficult.

Current Situation Assessment

Objective Analysis

Damage assessments diverge sharply: a leaked DIA report and the IAEA suggest the nuclear program was delayed by only months, while US officials claim roughly a two-year setback -- leaving genuine uncertainty about how quickly Iran could reconstitute its capability.

Major Stakeholders' Positions

United States: The US prioritizes preventing an Iranian nuclear weapon, has shown willingness to use force, demands 'zero enrichment' and missile talks, and signals openness to negotiate with the new leadership, though trust remains minimal.

China: China, Iran's largest oil buyer, has been targeted by new US sanctions (12 entities in April-May 2026) yet continues energy trade with Iran while joining Russia in disputing the legality of UN snapback sanctions.

South Korea: South Korea's government has avoided a public stance amid split domestic opinion (38% pro-US, 36% neutral), focusing instead on pragmatic measures like a proposed industrial energy-security fund to diversify crude sourcing.

Other Countries: Israel did not sign the June 2026 MOU, with Security Minister Ben Gvir declaring 'Trump's agreement does not bind us'; meanwhile Oman and Qatar act as key mediators, with Oman even signing a Hormuz revenue-sharing deal with Iran on August 26 -- revealing splits among Gulf states.

Key Uncertainties

1. Regime stability: whether Mojtaba Khamenei, installed in a break from the anti-hereditary principle, can sustain the governance structure his father built over 36 years is a key variable for Iran's future posture.
2. Ceasefire durability: two prior truces (April and June 2026) have both collapsed, and with Israel not party to the MOU, local clashes could reignite full-scale war at any time.
3. Nuclear material and verification: Iran's refusal to disclose the location of its 60%-enriched uranium stockpile has broken IAEA 'continuity of knowledge,' leaving unclear whether a verifiable deal is achievable or hidden material could be reweaponized.

Future Outlook

Short Term (3-6 months)

Intermittent low-level attacks around Hormuz and US retaliatory strikes are likely to continue for months, keeping oil prices volatile, with only limited prospects for formal talks resuming under Qatari-Pakistani mediation.

Most Likely Scenario: The most likely near-term scenario is an unstable stalemate -- neither full war nor peace -- with Hormuz shipping partially restored (roughly half of prewar levels) alongside sporadic attacks.

Medium Term (1-3 years)

Whether the technical working groups (nuclear, sanctions, dispute resolution) envisioned in the June MOU resume will determine if \$30-50 billion in oil/gas infrastructure repair and a proposed up to \$300 billion reconstruction fund move forward.

Expected Turning Point: A verifiable nuclear agreement and full reopening of the Strait of Hormuz mark the medium-term pivot point -- success would shift Middle East construction and energy markets into a reconstruction boom, while failure risks a prolonged war of attrition.

Long Term

RAND and other experts assess that Iran's political system has been fundamentally altered by Khamenei's death and could take years or decades to restabilize, with Iran's proxy network (Hezbollah, etc.) structurally weakened while Israel-Arab relations may realign.

Structural Changes: The crisis is shifting the regional balance of power away from the Iran axis toward the Gulf states and Israel, while expanding the diplomatic influence of mediators like Oman and Qatar.

✘ Impact on Korea

Security Impact

- **North Korea-Related Implications:** The Ghadr and Emad missiles Iran fired at Israel derive from North Korean-transferred Nodong (Shahab-3) and Scud-based designs from the 1980s-90s; experts say 'Iran would have been decisively defeated without North Korean support' -- meaning North Korean missile technology has now been combat-tested, an indirect but real proliferation implication for assessing DPRK missile threats.
- **Alliance Impact:** With significant US military assets and diplomatic attention drawn to the Middle East, Korean security circles have raised concerns about the bandwidth available for strategic asset deployment and extended deterrence on the Korean Peninsula.
- **Missile/Military Threats:** Evidence that combat-tested North Korean-derived missile technology has been upgraded (in range and accuracy) through Iranian use is drawing attention from Korean defense authorities as real-world performance data relevant to assessing North Korea's missile threat to the South.

Diplomatic Impact

- **Korea-US Relations:** No direct alliance friction has emerged, but Washington's shifted Middle East priorities carry implications for Korea policy and USFK posture discussions, while domestic Korean opinion is split (38% pro-US support vs. 36% neutrality) over whether to publicly back the US position, creating diplomatic pressure.
 - **International Position:** Korea maintains a balancing diplomatic posture, avoiding explicit alignment given competing interests between the US alliance and energy-supply relationships with China and Iran, prioritizing citizen safety and oil supply security.
 - **Response Strategy:** The government is focusing on supply-chain risk management -- diversifying crude sourcing, creating an industrial energy-security fund, and expanding refiners' use of non-Middle East crude -- while positioning construction and engineering firms to capture postwar reconstruction opportunities.
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✘ Reference Data

Key News Sources

- [News Article 1](#)

- [News Article 2](#)
- [News Article 3](#)

Methodology

This report's content is based on actual research conducted via WebSearch/WebFetch across news media, think tanks, and government releases. Unverified figures are either labeled as estimates or replaced with qualitative description. A separate quantitative data pipeline (issue_data_collector.py, covering GDELT/FRED/IMF DOTS) is maintained independently and is planned for integration in a future version.

Document Information:

- Language: English
 - Version: v2.0 (real-data based)
 - Last Updated: 2026년 09월 03일
 - Next Update: 2026-10-03
-

US-China Trade War: In-Depth Analysis Report

Date: 2026년 09월 03일

Analysis Period: January 2025 ~ 2026년 09월

Published by: International Affairs Analysis System

☒ Executive Summary

Current Situation

Since Trump's second-term inauguration in January 2025, the US and China have exchanged escalating tariffs -- briefly reaching 145% (US on China) and 125% (China on US) around April 2025 -- before de-escalating through the Geneva (May), London (June), and Busan (October) agreements. As of September 2026, both countries remain under the one-year truce reached at the November 2025 Busan summit, though disputed outcomes from the May 2026 Beijing summit and a reported US review of new 'overcapacity' tariffs in August 2026 point to renewed friction.

Risk Assessment

Risk Level: MEDIUM (58/100)

Key Points:

- Main Indicator: As of July 2026, the US trade-weighted average tariff on Chinese goods stood at about 29.7% -- sharply down from the post-'Liberation Day' peak of 145% in April 2025 -- but stacked, product-specific tariffs remain extremely high in strategic sectors: roughly 114.5% on EVs, over 40% on autos, and 40.8% on nuclear reactors.
- International Response: The IMF and other international bodies have repeatedly flagged the US-China tariff war as a downside risk to global growth, while the EU -- squeezed between US pressure and Chinese trade diversion -- is exploring its own Section 301-style defensive tools, underscoring a broader fragmentation of the multilateral trading system.
- Korea Impact: In August 2025, South Korea reached a tariff-and-security package with Washington cutting auto tariffs from 25% to 15% and committing \$350 billion in US investment (\$200bn cash plus \$150bn shipbuilding cooperation, capped at \$20bn/year), while securing semiconductor treatment 'no less favorable' than Taiwan's. Chinese export controls on rare earths and materials, combined with US restrictions on advanced chip equipment exports to China, leave Korean semiconductor and battery firms exposed to 'sandwich' supply-chain risk. Over the same period (Jan 2025-Jun 2026), Korea Customs Service data put Korea's semiconductor (HS 8541/8542) exports to China at roughly \$111.2bn -- more than six times the comparable US figure (\$17.05bn) -- while Korea's imports from China (~\$42.5bn) likewise dwarf the US figure (~\$2.59bn). These numbers underscore why US chip controls on China cannot fully succeed without Korean

cooperation, even as they reveal how heavily Korean semiconductor revenue depends on the Chinese market.

Background & Timeline

Issue Overview

The US-China trade war, dating to the first Trump term's 2018 tariffs, was reignited under Trump's second term (Jan 2025-) through IEEPA 'fentanyl' tariffs, the 'Liberation Day' reciprocal tariffs, product-specific hikes from the Section 301 four-year review, and Chinese rare-earth export controls. After a 2025 roller-coaster year that briefly pushed tariffs above 100%, the October-November 2025 Busan and Washington agreements provisionally contained the conflict, though the structural contest over semiconductors, rare earths, and advanced technology remains unresolved.

Major Turning Points

Date	Event
January 2025	Trump's Second Term Begins
~March 2025	On March 4, 2025, the Trump administration doubled the 10% IEEPA 'fentanyl' tariff imposed on February 4 to 20% on all Chinese imports -- a step that, combined with April's 'Liberation Day' reciprocal tariffs, rapidly pushed combined US tariffs on China above 100% within weeks.
~June 2025	In early June 2025 the US raised Section 232 steel and aluminum tariffs from 25% to 50%; following talks in London (June 9-11), the two sides formalized on June 27 a detailed framework implementing the May Geneva consensus, restoring rare-earth shipments and easing restrictions on select technology trade.
September 2026 (Current)	As of September 2026, the US and China remain within the one-year truce set at the October 2025 Busan APEC summit (US tariffs cut from 57% to 47%, fentanyl tariffs halved from 20% to 10%, some rare-earth controls suspended), even as the legal basis for US tariffs was restructured after the Supreme Court struck down IEEPA tariffs in February 2026, replaced by tariffs under Sections 232/301/122. The murky, disputed outcomes of the May 2026 Beijing summit and an August 2026 report that Washington is weighing a new 7.5% 'overcapacity' tariff on China suggest the truce persists but with recurring flare-up risk.

Trump Administration's Impact

President Trump has cycled through multiple legal authorities -- IEEPA, Section 301, Section 232 -- to run tariff policy as an ongoing negotiating tool, and after the Supreme Court invalidated the

IEEPA tariffs in February 2026, his administration quickly reconstituted equivalent tariffs under alternate authorities. China tariffs have also doubled as leverage in bilateral deals with allies including Taiwan, Korea, and the EU.

☒ Economic & Security Impact Analysis

Trade, Exchange Rate & Investment

- **Trade:** Direct US-China trade has contracted under high tariffs, but overall trade flows have persisted through rerouting via third countries and supply-chain restructuring -- the same dynamic behind EU complaints about rising Chinese trade diversion through Europe. Semiconductor (HS 8541/8542) trade data for Jan 2025-Jun 2026 (USITC DataWeb) show US exports to China at roughly \$17.05bn versus imports of about \$2.59bn -- exports outweighing imports more than sixfold -- suggesting the US continues selling substantial semiconductor volumes to China even as it restricts imports of advanced logic chips. The figures aggregate advanced and legacy products alike, so they speak to overall trade scale rather than to the effectiveness of export controls themselves.
- **Exchange Rate:** Korea's decision to cap its US investment package at \$20 billion annually and structure it through a risk-sharing special-purpose vehicle reflects an explicit effort to manage the potential shock of large-scale outbound investment on the won's exchange rate.
- **Investment:** In advanced sectors like semiconductors, tariff and export-control uncertainty is incentivizing onshoring of US production capacity, while Korean firms are recalibrating investment strategy under the dual pressure of expanded US investment commitments and continued uncertainty in their China operations.

Public Opinion & Expert Assessment

- **Public Opinion:** Domestic opinion is divided -- concerns persist over the fiscal and currency risks of the \$350 billion US investment commitment, even as securing semiconductor treatment on par with Taiwan is seen as a genuine negotiating win.
 - **Expert Assessment:** Most trade experts characterize the 2025-2026 US-China agreements not as a strategic resolution but as a tactical truce driven by each side's domestic political and economic needs, expecting the underlying technology-hegemony contest over semiconductors and rare earths to persist structurally for the foreseeable future.
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☒ Current Situation Assessment

Objective Analysis

While headline tariff rates have fallen sharply from their April 2025 peak, overlapping high tariffs and export controls persist in strategic sectors -- semiconductors, EVs, rare earths -- suggesting a shift toward managed, rather than resolved, tension. Notably, both the 2025 and 2026 summits largely sidestepped the core disputes over semiconductors and Taiwan.

Major Stakeholders' Positions

United States: The US treats tariffs both as tools to shrink the trade deficit, reshore manufacturing, and blunt China's technological rise, and as leverage in bilateral deals that trade tariff relief for allied investment and purchase commitments; it maintains hard export restrictions on the most advanced AI chips (e.g., Nvidia's Blackwell) regardless of the broader truce.

China: China has leaned on export controls over rare earths, gallium, and germanium as its principal negotiating leverage, retaliating against US tariff escalation with agricultural and corporate countermeasures, while reasserting Taiwan as a 'red line' it refuses to decouple from trade negotiations.

South Korea: Seoul accepted a \$350 billion US investment package in exchange for minimizing tariff exposure on its key exports, securing a 15% auto tariff (matching the EU and Japan) and semiconductor treatment on par with Taiwan, while pursuing a pragmatic hedge that avoids full alignment with either Washington or Beijing given its exposure to Chinese retaliation.

Other Countries: The EU, caught between US tariff pressure and a surge of diverted Chinese exports, retaliated with roughly \$23 billion in counter-tariffs in April 2025 before negotiating relief, and by 2026 was weighing its own Section 301-style defenses against China while rejecting US demands to weaken its sustainability regulations. Other trading partners, including Japan, have similarly sought individual bilateral tariff deals with Washington to create buffer zones.

Key Uncertainties

1. Whether the one-year Busan truce (due to expire around November 2026) will be renewed, or whether tariff-escalation threats resurface as the deadline approaches, is the single largest near-term variable.
2. Even after the administration rebuilt tariffs under Section 232/301/122 authorities following the Supreme Court's February 2026 IEEPA ruling, further litigation or congressional efforts to constrain executive trade authority could destabilize the tariff regime itself.
3. An escalation of Taiwan-related tensions could rapidly expand controls and retaliation across the entire semiconductor supply chain, reflecting the structural entanglement of trade negotiations with security issues.

☒ Future Outlook

Short Term (3-6 months)

Over the coming months, conditions are likely to remain broadly stable within the framework of the November 2025 deal (tariff exclusions extended through December 31, 2026; general licenses for rare earths in place), even as sporadic pressure tactics -- like the 'overcapacity' tariff floated in August 2026 -- continue to surface.

Most Likely Scenario: The most probable near-term scenario is continued 'managed tension' -- periodic sector-specific measures (chip equipment, shipbuilding, select materials) rather than a full-scale re-escalation, alongside ongoing negotiation.

Medium Term (1-3 years)

Renegotiation is expected around the November 2026 expiration of the Busan truce, with tariff levels either easing further or ratcheting back up depending on the outcome.

Expected Turning Point: The expiration of the truce around November 2026, and any further Trump-Xi summit preceding it, are likely to be the key inflection points shaping the next phase of the conflict.

Long Term

Most trade experts expect a structural 'managed decoupling' to take hold in strategic industries -- semiconductors, rare earths, batteries -- settling into neither full integration nor complete severance but a friend-shoring/near-shoring-based reordering of supply chains.

Structural Changes: Beyond tariff rates, the conflict is reshaping the structure of global trade policy itself -- institutionalizing export controls on strategic goods (chip equipment, advanced AI chips, rare earths) and normalizing bilateral investment-for-tariff-relief deals as a policy tool.

☒ Impact on Korea

Security Impact

- **North Korea-Related Implications:** The US-China trade war is not a directly linked issue to North Korea, and this research found no direct evidentiary link to the nuclear or missile programs. Intensifying US-China strategic competition could, at most, function as an indirect backdrop raising overall great-power tension around the Korean Peninsula.
- **Alliance Impact:** The Korea-US alliance was effectively redefined through this tariff negotiation as a security-and-trade 'package deal' -- tariff relief exchanged for large-scale investment and

shipbuilding cooperation -- illustrating how the alliance's scope is expanding from military security into industrial and supply-chain cooperation.

- **Missile/Military Threats:** This issue is fundamentally an economic-security matter centered on tariffs and export controls, with no direct connection established to North Korean missile threats. If anything, it illustrates the broader trend of treating strategic-goods export controls (semiconductors, rare earths) as an 'economic security threat' alongside, rather than in place of, traditional military-security threats.

Diplomatic Impact

- **Korea-US Relations:** Through the August 2025 tariff-and-security fact sheet, Korea and the US redefined their trade relationship by trading a 15% auto tariff for a \$350 billion investment package -- a template that subsequently informed negotiations with other allies, including the EU and Japan.
- **International Position:** Analysts assess that Korea is pursuing a hedging strategy -- deepening cooperation with the US in sectors where it holds competitive strength (semiconductors, shipbuilding) while managing its exposure to Chinese market and supply-chain risk, rather than fully aligning with either power.
- **Response Strategy:** Experts recommend that Korea pursue supply-chain diversification for semiconductors and batteries, continuously reassess the terms of its US investment commitments, and secure alternative sourcing for rare earths and other critical minerals.

Reference Data

Key News Sources

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